Product Requirements Document — “Sumi” (working name)

A simple bookkeeping app for small businesses. Ready for Claude Code implementation.

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1. Executive summary and vision

Sumi is a bookkeeping app that feels like a spreadsheet but thinks like a CPA. It gives US small business owners a five-number dashboard, an inbox of transactions to triage in minutes, automated Schedule C categorization, and one-click invoicing — at $15/month. It is explicitly not QuickBooks: no chart of accounts, no journal entries, no reconciliation screen, no debits or credits in the UI.

Why this matters now. Intuit is raising QuickBooks Online prices 15–25% on May 1, 2026 — the largest single hike in QBO history, Steph's Books following ~10% annual creep. Bench collapsed in December 2024, locking 12,000+ SMB owners out of their books overnight. Wave paywalled automatic bank imports in 2024. SaveDelete The market is in active churn, yet the incumbents are moving *upmarket* with AI-padded enterprise tiers. There is a durable opening for a simpler, cheaper, AI-native product positioned against “I just want a bookkeeping app, not an accounting system.”

The product thesis in one line: replace the spreadsheet, beat QuickBooks on time-to-answer, not on feature count. A user should be able to sign up, connect a bank, and see a populated P&L in under 5 minutes — and close a month in under 10.

Who this is for. Three personas dominate: the **solo operator** (cleaner, handyman, photographer) mixing personal and business banking; the **1099 freelancer** optimizing for Schedule C and quarterly estimates; and the **tiny retailer** (Etsy seller, food truck) using Square/Shopify and wanting a clean view of profit after fees. All three file Schedule C. All three currently use a spreadsheet or an uncomfortably expensive QBO/Wave subscription.

Success means: 1,000 paying businesses in 12 months, <5% monthly churn, 70% of signups reach “aha moment” (populated dashboard) in the first session.

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2. Target users and personas

Persona 1 — Maria, the route-based service operator

Owns Awesome Maids-style residential cleaning with 4 recurring weekly/biweekly clients and 2 subcontractors paid 1099. Revenue $120k/yr, profit ~$40k. Uses Chase Business Checking, a Chase Ink card for supplies, Square for in-person card taps, Venmo for some clients. Her current system: a Google Sheet her sister built, plus a shoebox of receipts. **Jobs-to-be-done:** invoice recurring clients without re-typing, track gas and supplies for Schedule C, know what to pay in quarterly estimates, and hand a clean packet to her CPA in January. **Churns if:** invoicing is clunkier than sending a Venmo request, or the bank feed breaks.

Persona 2 — Devon, the freelance designer

Solo 1099 contractor, $90k/yr, filing Schedule C. Works from coffee shops and a co-working space. Uses Mercury Business Checking, an Amex Business Platinum, and Stripe for 3 retainer clients. Has tried QuickBooks Self-Employed (now Solopreneur) and found it "fine but ugly," also tried Keeper. **Jobs-to-be-done:** separate business from personal on a shared card, track software subscriptions and meals, compute quarterly taxes accurately, answer "how much did I spend on X" without building a pivot table. **Churns if:** categorization accuracy drops or the app feels as crowded as QuickBooks.

Persona 3 — Priya, the Etsy + farmers-market seller

Bakes and sells specialty jams. Revenue $60k, COGS ~40%. Uses a dedicated business checking, a Square Reader at markets, Shopify for the online store, and a personal Venmo she regrets commingling. **Jobs-to-be-done:** understand actual profit after Stripe/Square/Shopify fees, track COGS without learning "inventory accounting," know when to start collecting sales tax, produce a Schedule C Part III. **Churns if:** fees aren't correctly split from revenue, or the app tries to make her run inventory.

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3. Problem statement and jobs-to-be-done

Primary problem. SMB owners spend hours in bookkeeping tools not doing bookkeeping — they are configuring charts of accounts, clearing broken bank feeds, building rules, and decoding accountant jargon. QuickBooks in particular feels overwhelming: users describe the new UI as "clunky, visually overwhelming," with "tasks that used to take minutes now requiring double the time" trustradius (TrustRadius, Sept 2025). The alternatives either strip too much (Wave dropped auto-import to free, FreshBooks caps clients at 5) NerdWallet or cost too much (Bench $249+, Pilot $499+).

The five real jobs we solve:

1. *"Categorize my bank transactions without me thinking about it."*

2. *“Send an invoice and actually get paid.”*
3. *“Tell me if I’m making money — in one screen, right now.”*
4. *“Make tax time a one-click export to my CPA.”*
5. *“Don’t make me learn accounting.”*

Ancillary jobs handled in v2: chase late payers, set aside quarterly taxes, track mileage, track 1099 contractors.

What we explicitly refuse to be: a double-entry accounting system, a bank, a payroll processor, an inventory manager, a sales-tax engine, a full-service bookkeeper.

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4. Competitive analysis

Product	2026 price	Target	Strengths	Weaknesses / churn triggers
QuickBooks Online Simple Start	$38/mo (→$44+ May 2026)	Very small businesses	Broadest integrations, accountant ecosystem, double-entry	Overwhelming UI, 1-user cap, 15–25% price hike May 1 2026, “AI slop” complaints
QB Solopreneur	$20/mo	1099 freelancers	TurboTax handoff, Software Advice mileage GPS, Aenten tax estimates Software Advice	Migration chaos from QBSE, weak invoicing, no multi-account, single-entry with no upgrade path
Xero Early	$25/mo	Global SMB	Clean UI, unlimited users, Hubdoc included	Early plan caps at 20 invoices + 5 bills/month, US support weaker than QBO
Wave Pro	$16/mo	Freelancers <$100k	Decent invoicing, H&R Block tax filing Wave Apps	Accrual-only, auto-imports paywalled in 2024, no mileage, weak support StartupOwl
				5-client cap,

FreshBooks Lite	$23/mo	Service freelancers	Best-in-class invoicing, service-oriented language	NerdWallet no bank reconciliation, NerdWallet single-entry at Lite NerdWallet
Keeper	$20/mo	1099 contractors	AI write-off discovery Keeper Tax App Store via SMS, audit protection, The College Investor in-app tax filing Keeper Tax	Not true bookkeeping, mobile-only web experience, Capterra 1-state filing Capterra
Found	Free / $35 / $80	Solo freelancers	Banking + books bundled, auto tax-withholding vault	Requires using their banking, $250k FDIC ceiling via Lead Bank Holdings
Zoho Books	Free <$50k rev, then $20+	Zoho ecosystem users	Genuinely free tier, CostBench thin US accountant network	Learning curve, smaller US community

Our position against this set. We are priced between Wave Pro ($16) and QB Solopreneur ($20). We match FreshBooks on invoicing UX, match Keeper on AI categorization, match Solopreneur on Schedule C readiness, and uniquely offer (a) **LLM-native categorization at the $15 tier** (no brittle rules to build), (b) **a one-click "Give to CPA" tax packet with TXF export** (Solopreneur's broken QBO→TurboTax path is our wedge), and (c) **explicit data portability as a brand promise** post-Bench.

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5. Product principles

1. The bank feed is the book. No reconciliation screen by default. If the aggregator balance matches our sum, the books are closed.

2. One number, not a dashboard. Every screen answers a question. If you can't say what a screen is *for*, it doesn't ship.

3. Plain English, always. No "accounts receivable," The Neat Company "reconciliation," "journal entry," "debit," or "credit" in the UI. Use "Unpaid invoices," "Match," "Adjustment," "+/–." Accountant terms live in tooltips only.

4. Hide the accountant mode. Advanced accounting features (CoA, journal entries, balance sheet, formal reconciliation) FreshBooks are collapsed behind a Settings toggle that auto-enables when an accountant is invited.

5. Keyboard-first on desktop, thumb-first on mobile. Desktop = Copilot-style inbox review with shortcuts. Mobile = three tabs: Home, Capture, Inbox.

6. AI is an answer, not a feature. Categorization happens silently; users see uncertain items only. Ask-AI returns a number and the transactions behind it — not a chat.

7. Your data, your export. One-click full export (CSV + PDF + receipts ZIP) is a first-class feature, not a buried setting. Marketing lever.

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6. Feature specification — MVP (v1)

6.1 Onboarding

User stories. *As a new user, I can sign up, connect my bank, and see my actual numbers in under 5 minutes. As a new user, I never have to pick an entity type, industry, or chart of accounts.* **Acceptance.** Signup requires only email + password or Google OAuth. Next screen asks one thing: business name. Plaid Link fires immediately. While Plaid's `HISTORICAL_UPDATE` webhook Plaid pulls 24 months, a skeleton dashboard shows. Default categorization applies from a 20-line Schedule C taxonomy using deterministic merchant-name cache + LLM fallback. User lands on a populated dashboard with real numbers. Time-to-first-value target: P50 <90 sec, P90 <5 min.

6.2 Bank and processor connections

Must. Plaid `/transactions/sync` as primary aggregator (supports 12,000+ US institutions, slashdot both consumer and business). Slashdot ProPicked Stripe Financial Connections as a cheaper secondary for ACH-linking on the invoicing side. Direct Stripe API integration for payout/fee data. Direct Square API integration for in-person sales data. CSV/OFX upload fallback always available. Connection Health panel in Settings shows green/yellow/red per account with a one-click "Reconnect" action. Listen to Plaid webhooks `PENDING_EXPIRATION`, `PENDING_DISCONNECT`, `ITEM_LOGIN_REQUIRED`, Plaid and proactively email users 14/7/1 days before consent expires. **Acceptance.** User can connect Chase Business, Chase Business credit card, Stripe, and Square in one session. All four appear in the accounts list with correct balance and last-synced timestamp. Disconnecting and reconnecting does not create duplicate transactions (dedup by `plaid_transaction_id` and by hash fallback).

6.3 Transaction inbox (flagship UX)

Must. A dense, keyboard-driven transaction list. Filters across the top (Needs review / Reviewed / All; Date; Account; Category; Type). Selected-row right-rail shows detail + category picker + attachment + notes. Shortcuts: `↑↓` navigate, `R` mark reviewed, `C` open category picker, intercom `S` split, `X` multi-select, `⌘Enter` confirm-and-next. Bulk edit bar appears on multi-select. Copilot When a user recategorizes, a non-modal toast offers "Always categorize STARBUCKS as Meals?" — one click creates a per-user merchant→category rule. **Acceptance.** A user with 200 unreviewed transactions can clear them in under 10 minutes using only the keyboard. Rules created from corrections apply to past and future matching transactions. Business-vs-personal toggle on every transaction is one keystroke (`P`). Split sums must equal the original amount.

6.4 Auto-categorization

Must. Three-stage pipeline: (1) deterministic merchant normalization (regex on Plaid-enriched merchant name), (2) per-user learned rules cache, (3) LLM fallback for novel merchants using the production prompt in Section 13.1. Confidence ≥0.9 auto-applies silently. 0.7–0.9 auto-applies but flags "Review." <0.7 queues for manual confirmation. Every transaction ties to one of 20 Schedule C lines SparkReceipt (or "transfer," "personal," "owner draw," "uncategorized"). **Acceptance.** On a seed set of 500 common SMB merchants, auto-categorization accuracy exceeds 92% post-normalization, 96% post-first-correction. LLM cost per user per month stays under $0.05 at 500 monthly transactions.

6.5 Invoicing and payments

Must. Create an invoice in under 60 seconds: customer picker with inline-create, line items, due date (default Net 30), notes. Live preview pane. Send via email with a magic-link hosted pay page — no customer login required. Accept card (Stripe 2.9% + $0.30) FreshBooks and ACH (Stripe Financial Connections, 0.8% capped $5). FreshBooks Default payment method toggle promotes ACH ("Save 2.9%"). Auto-match incoming Stripe payout transaction to the originating invoice when bank feed reflects the deposit. PDF download + "Copy pay link" on every invoice. A/R aging buckets (Current / 1–30 / 31–60 / 61–90 / 90+) on dashboard. **Acceptance.** An invoice sent at 10:00 can be paid by ACH at 10:03 from the customer's phone without creating an account. FreshBooks Once Stripe posts the payout to the connected bank, the bank transaction auto-matches to the invoice and the invoice status flips to Paid. Stripe fees post as a separate line item against category `commissions_and_fees` ReceiptSync (Schedule C line 10). irs

6.6 Dashboard

Must. Five tiles on one screen: **Cash on hand** (sum of connected deposit balances, 30-day sparkline), **Revenue this month** (MTD with comparison vs prior period), **Expenses this month**, **Profit this month**, **Unpaid invoices** (count + $). Period toggle in header (Today / WTD / MTD / QTD / YTD / Custom). Below the fold: 12-week cash-in/cash-out bar chart,

“Needs attention” list (uncategorized transactions, overdue invoices), top 5 customers YTD. **Acceptance.** Tiles render with real numbers within 1 second of dashboard load for businesses under 10,000 transactions. Every tile is click-through to filtered underlying data.

6.7 Reports

Must v1. Profit & Loss (cash basis; by category; monthly, quarterly, annual views; comparison toggle; drill-through). **Transaction list export** (CSV with Schedule C line column). **Schedule C summary** (P&L rendered as Schedule C Part I + Part II + Part III with line totals). **Acceptance.** P&L reconciles to the sum of categorized transactions for the period. Switching period re-renders in <500ms. CSV export includes all fields needed for CPA review (date, description, amount, category, Schedule C line, account, memo, receipt URL).

6.8 Receipt capture

Must. Three ingestion paths: mobile PWA camera, drag-drop web upload, and email-forward to `receipts+<userhash>@receipts.sumi.app` via SendGrid Inbound Parse. Twilio Twilio LLM-vision extraction (GPT-4o-mini default, Claude Sonnet 4 retry on low confidence) returns merchant, date, total, Smartreceipts tax, tip, payment method, last4, line items. Auto-match to a bank transaction within ±$0.02 amount and ±3 days date; if matched, attach silently and surface in the transaction detail; if unmatched, park in “Unmatched receipts” pile. **Acceptance.** >90% auto-match rate on paired card receipts. End-to-end latency from mobile capture to attached receipt <10 seconds P90.

6.9 Tax packet export (“Give to CPA”)

Must. One button in Reports → Tax packet. Produces a ZIP: Schedule C Summary PDF (line-by-line pre-fill), TurboTax annual P&L PDF, monthly P&L PDF, all-transactions CSV with Schedule C line column, 1099 issued/received summary (if any), receipts subfolder grouped by category, TXF file for TurboTax Home & Business import, QB Community README for the CPA. Optionally, a time-limited shareable read-only link (30-day expiry). **Acceptance.** A CPA opening the ZIP cold can file a client’s Schedule C without asking a single clarifying question on 80% of test cases.

6.10 Multi-business, team, and data export

Must. One user can own or be invited to multiple businesses (business switcher in top nav). Roles: owner, admin, bookkeeper, viewer. Invite by email with signed JWT link. **Data export**: Settings → “Download all my data” produces a single ZIP with transactions.csv, invoices.csv, customers.csv, vendors.csv, reports PDFs, receipts folder.

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7. Feature specification — v2 (next 6 months)

Ordered by ROI.

Recurring invoices and auto-charge. Schedule builder (weekly / biweekly / monthly / custom), auto-charge saved card or ACH, pause/skip next occurrence, pre-charge notification 3 days out. This unlocks route-based service businesses (cleaners, lawn care, dog walkers) — CleanDay CRM's natural cross-sell audience.

Bank rules (power-user). Visible rule editor surfacing the auto-rules created by AI + user corrections. Priority ordering, preview "will apply to N past transactions."

Mileage tracking. Manual first (date, purpose, miles, auto-compute at current IRS rate — 70¢/mi for 2025, Crafty Base +2 72.5¢ for 2026 per IRS December 2025 announcement). LayerNext GPS auto-detection via Expo app later.

Estimates / quotes → invoice. Line items, optional photo attachments, e-signature via HTML canvas + ESIGN Act-compliant metadata block, optional deposit collection (configurable %), one-click convert to invoice.

Automated late-payment reminders. Default cadence: T-3 days friendly nudge, day-of, +3 / +7 / +14 / +30 days. Invoicemaster All templates editable. Subject-line contains invoice # and amount. Bill.com

Bookkeeper/accountant access + accountant mode. Invite email with role=bookkeeper auto-enables Advanced Accounting: CoA view, journal entries, trial balance, balance sheet (v2.5), formal reconciliation. Free for the accountant seat (CPA partner-program play).

1099 contractor tracking. W-9 digital collection QuickBooks ProAdvisor with e-sig, vendor flag `is_1099_contractor`, YTD paid tracker with threshold alert ($600 for 2025 payments; ReceiptSync Tab Service Company **$2,000 from 2026+ per OBBBA §70433**). Export pre-filled 1099-NEC summary CSV and deep-link to Track1099 or Tax1099.com for filing. We do not e-file directly in v2.

Quarterly estimated tax module. Prior-year 1040 upload computes safe-harbor target (100% or 110% of prior liability, depending on AGI). True Wealth Design Ourtaxpartner Real-time set-aside gauge on dashboard. Push notifications 10 days before Apr 15, Jun 15, Sep 15, Jan 15. Tscpatax Ourtaxpartner Deep-link to IRS DirectPay.

Receipt forwarding via email and SMS. SendGrid inbound already scaffolded in v1; SMS via Twilio MMS to a user-specific number (Keeper-style differentiator for non-tech users).

Ask-AI natural language queries. "How much did I spend on gas last month?" returns a number, the period, and a click-through to the underlying transactions. Structured query-plan architecture described in Section 13.3.

Sales tax for retailers (state-level only). Per-state rate configuration, collected-vs-remitted balance, monthly reminder to file. Explicit non-goal: jurisdictional nexus tracking — refer to

TaxJar/Anrok for complex cases.

Expo mobile app. Native iOS/Android via Expo Router StackShare in a Turborepo monorepo sharing business logic with the web app. Primary job: better camera UX for receipts, offline capture queue, push notifications.

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8. Out of scope (explicit non-features)

We deliberately do not build the following. Each has a refer-out recommendation for users who ask.

Non-feature	Why	Refer to
Full double-entry accounting with journal entries (as UI primitive)	Target user doesn't know what a debit is. Expose only in Accountant Mode.	QBO / Xero
Inventory management (SKUs, stock levels, multi-location)	Deep vertical. We read sales data from Square/Shopify, not own it.	Square, Shopify
Full-service payroll (W-2s, 941/940, state filings)	50-state compliance quagmire.	Gusto (partner)
Multi-currency and international tax (VAT, GST)	US-only for v1 and v2.	Xero
Project/time tracking with billable hours	Overlaps with FreshBooks' core — not our fight.	Harvest, Toggl
Multi-entity consolidation, intercompany eliminations	$5M+ revenue territory.	QBO Advanced, NetSuite
Full GAAP balance sheet and cash flow statement with accruals	Schedule C filers file on cash basis. Simple balance sheet in v2.5.	QBO, Xero
Budgeting and FP&A	Different product category.	Cube, Jirav
AP bill pay (scheduled outbound ACH to vendors)	Different product; regulatory weight (money movement).	Bill.com, Relay
Full-service human bookkeeping	We are software, not a services firm.	Pilot, 1-800Accountant
Fixed-asset depreciation	Rare for ICP; CPA handles at year-end.	CPA workflow

schedules, Form 4562		
Complex sales tax with nexus tracking	13,000+ jurisdictions. State-level only at v2.	TaxJar, Avalara, Anrok

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9. Technical architecture

Stack. Next.js 15 (App Router) on Vercel. Supabase (managed Postgres, Auth, Storage, Edge Functions) pinned to us-east-1. Stripe Connect Standard for payments. Stripe Financial Connections for ACH bank-linking on the customer invoice side. Plaid `/transactions/sync` for business-owner bank feed. Square and PayPal direct APIs for processor accounts. SendGrid Inbound Parse for receipt-by-email. Anthropic Claude 3.5 Haiku + Sonnet 4 and OpenAI GPT-4o-mini + GPT-4o for LLM workloads. Sentry for errors. PostHog for product analytics. Better Stack for uptime. Expo (v2) for mobile native.

Runtime topology.

- **Next.js App Router** serves all authenticated app views as React Server Components with `dynamic = 'force-dynamic'` on financial views. Mutations use Server Actions with Zod validation and explicit re-authentication inside each action.
- **Supabase Edge Functions** host every third-party webhook receiver (Plaid, Stripe, SendGrid, Square): verify signature → dedup by event id → insert into `webhook_events` → enqueue processing. Edge runtime avoids Vercel cold starts and lives close to the DB.
- **Background workers** on Inngest (or Supabase pg_cron for simple jobs) handle: initial Plaid historical sync, nightly categorization sweep, nightly duplicate-detection, receipt OCR pipeline, daily balance-guardrail reconciliation, scheduled invoice reminders.
- **Row-level security** enforces tenancy on every table via SECURITY DEFINER helper `auth.user_has_business_access(business_id)`. Every query also includes explicit `WHERE business_id = $1` for index usage.

Diagram-in-words. User hits a Next.js page → Server Component reads from Supabase via RLS-scoped client → page renders. A Plaid webhook fires → Supabase Edge Function verifies signature and inserts to `webhook_events` → Inngest worker picks up → calls `/transactions/sync` with cursor → upserts transactions, runs categorization pipeline, updates account balance. User opens mobile PWA → takes a photo → uploads to Supabase Storage (signed URL) → Edge Function triggers OCR worker → LLM extracts fields → matching worker attaches to bank transaction → Realtime channel pushes update to user's inbox.

Money handling. All monetary columns `NUMERIC(19,4)`. Never FLOAT, never Postgres

`MONEY`. Currency stored as `CHAR(3)` alongside every amount (CHECK `currency = 'USD'` for v1). Dates that are business-meaningful (posted_date, issue_date, due_date) stored as `DATE`; audit timestamps as `TIMESTAMPTZ` (UTC). Each business has an IANA `timezone` column for display conversion.

Soft deletes and audit trail. Every financial entity has `deleted_at` and `deleted_by`. Application-layer `WHERE deleted_at IS NULL` filter by default. Every write appends to `audit_events` (append-only table; `REVOKE UPDATE, DELETE FROM authenticated, anon, service_role`).

Key API contracts.

```
POST /api/plaid/link-token            → { link_token }
POST /api/plaid/exchange              { public_token } → { item_id }
POST /api/webhooks/plaid              (signed; dedup by webhook_code+item_id)
POST /api/webhooks/stripe             (signed; verifies Stripe-Signature header)
POST /api/webhooks/sendgrid-inbound   (SendGrid multipart/form-data payload)

// Server Actions (all 'use server')
categorizeTransaction({ transactionId, categoryId, createRule?: boolean })
markReviewed({ transactionIds: string[] })
splitTransaction({ transactionId, splits: { amount, categoryId }[] })
createInvoice({ customerId, lineItems, dueDate, notes })
sendInvoice({ invoiceId, email })
uploadReceipt(formData) → { receiptId, status: 'pending'|'matched' }
exportTaxPacket({ year }) → { jobId, downloadUrl (async) }
exportAllData() → { jobId, downloadUrl (async) }

// Public (magic-link) routes
GET  /pay/[token]                     → hosted invoice view
POST /pay/[token]/checkout            → Stripe Checkout session
```

Security posture. TLS 1.2+ everywhere with HSTS. Supabase AES-256 at rest. Plaid access tokens and vendor TINs encrypted at column level via Supabase Vault (libsodium). Stripe Elements keeps PCI scope at SAQ A — cardholder data never touches our servers. Sentry and PostHog receive redacted payloads (no amounts, no PII, no transaction descriptions). Supabase Storage buckets for receipts are private with short-TTL signed URLs (5 min). Dependabot and Snyk on CI. Yearly penetration test once SOC 2 observation period starts.

Legal posture. Software vendor that reads financial data (Plaid) and facilitates invoicing via Stripe Connect **Standard accounts** — non-custodial. Customer invoice funds deposit directly to the SMB's own Stripe account. We never hold, route, or move customer funds. No MTL, no MSB registration, no FDIC implications. Terms of Service clickwrap at signup; explicit disclaimer that we do not provide accounting or tax advice. Cyber-liability and E&O insurance from first paying customer.

Observability minimum for launch. Structured JSON logs (Pino) with request_id per request. Every webhook persists `event_id` to `webhook_events` with idempotency enforcement. Daily cron compares `plaid_account.balance` to `sum(transactions.amount)` per account; alerts to Slack on delta >$1. Sentry `beforeSend` hook strips auth tokens and amount fields.

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10. Data model (detailed schema)

All tables carry `id UUID PK DEFAULT gen_random_uuid()`, `created_at TIMESTAMPTZ NOT NULL DEFAULT now()`, `updated_at TIMESTAMPTZ`, `deleted_at TIMESTAMPTZ`. Money columns `NUMERIC(19,4)`. RLS enabled on every tenant-scoped table.

`users` — auth identity (extends Supabase `auth.users`). Fields: `email CITEXT UNIQUE`, `name`, `phone`, `mfa_enabled BOOL`, `last_login_at`.

`businesses` — tenant root. `legal_name`, `dba`, `ein_encrypted BYTEA`, `entity_type ENUM('sole_prop','smllc','partnership','scorp','ccorp')`, `state CHAR(2)`, `timezone TEXT DEFAULT 'America/Los_Angeles'`, `default_currency CHAR(3) DEFAULT 'USD'`, `invoice_prefix TEXT DEFAULT 'INV-'`, `logo_url`, `owner_user_id UUID`.

`memberships` — user↔business with role. `business_id UUID`, `user_id UUID`, `role TEXT CHECK (role IN ('owner','admin','bookkeeper','viewer'))`, `status ENUM('invited','active','revoked')`, `invited_by UUID`, UNIQUE `(business_id, user_id)`.

`financial_accounts` — connected bank, credit card, or processor. `business_id`, `name`, `type ENUM('checking','savings','credit_card','loan','paypal','stripe','square','cash','other')`, `institution_name`, `mask`, `current_balance NUMERIC(19,4)`, `available_balance NUMERIC(19,4)`, `currency CHAR(3)`, `aggregator ENUM('plaid','teller','manual','stripe','square','paypal')`, `aggregator_account_id TEXT`, `plaid_item_id UUID REFERENCES plaid_items`, `last_synced_at`, `sync_status ENUM('ok','needs_reauth','error','disconnected')`, `is_active BOOL`, `is_manual BOOL`.

`plaid_items` — per-institution link. `business_id`, `plaid_item_id TEXT UNIQUE`, `institution_id`, `institution_name`, `access_token_encrypted BYTEA`, `cursor TEXT`, `last_synced_at`, `status TEXT`.

`transactions` — core ledger row. `business_id`, `financial_account_id`, `plaid_transaction_id TEXT UNIQUE`, `amount NUMERIC(19,4)` (signed; negative = outflow), `currency`, `posted_date DATE`, `authorized_date DATE`, `description TEXT`, `merchant_name TEXT`, `category_id UUID REFERENCES categories`, `customer_id UUID REFERENCES customers`, `vendor_id UUID REFERENCES vendors`, `invoice_id UUID REFERENCES invoices`, `payment_id`

`UUID REFERENCES payments`, `rule_id UUID REFERENCES categorization_rules`, `is_personal BOOL DEFAULT false`, `is_reviewed BOOL DEFAULT false`, `is_transfer BOOL DEFAULT false`, `is_excluded BOOL DEFAULT false`, `is_pending BOOL DEFAULT false`, `is_split BOOL DEFAULT false`, `parent_transaction_id UUID` (self-FK for splits), `notes TEXT`, `dedup_hash TEXT` (sha256 of `account|posted_date|amount|normalized_desc`), `imported_from ENUM('plaid','manual','csv','stripe','square','paypal')`, `ai_confidence NUMERIC(4,3)`. Indexes: `(business_id, posted_date DESC)`, partial index on `(business_id)` WHERE `NOT is_reviewed AND deleted_at IS NULL`.

`categories` — Schedule C taxonomy plus custom. `business_id` (nullable for system seeds), `name`, `type ENUM('income','expense','transfer','owner_draw','owner_contribution','personal')`, `schedule_c_line TEXT` (e.g. `'8'`, `'20a'`, `'27a'`), `parent_category_id UUID`, `icon`, `is_system BOOL`, `sort_order INT`, `is_archived BOOL`.

Seed set (income): services_income (→ Line 1), product_sales (→ Line 1), refunds_allowances (→ Line 2), other_income (→ Line 6). *Seed set (expense, Schedule C Lines 8–27):* advertising (8), car_and_truck (9), commissions_and_fees (10), contract_labor (11), depreciation (13), employee_benefits (14), insurance_non_health (15), interest (16a/16b), legal_and_professional (17), office_expense (18), pension_profit_sharing (19), rent_equipment (20a), rent_property (20b), repairs_and_maintenance (21), supplies (22), taxes_and_licenses (23), travel (24a), meals_50pct (24b), utilities (25), wages (26), software_subscriptions (27a), bank_fees (27a), education (27a), dues_memberships (27a). *System:* transfer, owner_draw, owner_contribution, uncategorized.

`categorization_rules` — auto-categorize per merchant. `business_id`, `match_type ENUM('merchant_exact','description_contains','regex')`, `match_value TEXT`, `match_amount_min NUMERIC`, `match_amount_max NUMERIC`, `match_account_id UUID`, `set_category_id`, `set_vendor_id`, `set_is_personal BOOL`, `priority INT`, `auto_approve BOOL`, `applied_count INT`.

`customers` — invoice recipients. `business_id`, `display_name`, `company_name`, `email CITEXT`, `phone`, `billing_address JSONB`, `default_terms_days INT DEFAULT 30`, `default_tax_rate_bps INT`, `notes`, `is_archived BOOL`.

`vendors` — payees. `business_id`, `display_name`, `email`, `default_category_id`, `is_1099_contractor BOOL`, `tin_encrypted BYTEA`, `w9_on_file BOOL`, `w9_file_id UUID`, `ytd_paid NUMERIC(19,4)` (denormalized for threshold alerts), `is_archived BOOL`.

`invoices` — `business_id`, `customer_id`, `number TEXT` (unique per business), `status ENUM('draft','sent','viewed','partial','paid','overdue','void')`, `issue_date DATE`, `due_date DATE`, `currency`, `subtotal NUMERIC(19,4)`, `tax_total NUMERIC(19,4)`, `discount_total NUMERIC(19,4)`, `total NUMERIC(19,4)`, `amount_paid NUMERIC(19,4)`,

`amount_due NUMERIC(19,4)` (generated), `notes TEXT`, `terms TEXT`, `public_view_token TEXT` (random, unindexed, 256-bit), `sent_at`, `viewed_at`, `paid_at`, `stripe_payment_link TEXT`, `recurring_schedule_id UUID` (v2), `pdf_url TEXT`.

`invoice_line_items` — `invoice_id`, `position INT`, `description`, `quantity NUMERIC(12,4)`, `unit_price NUMERIC(19,4)`, `amount NUMERIC(19,4)`, `tax_rate_bps INT`, `category_id`.

`payments` — against an invoice or standalone. `business_id`, `invoice_id` (nullable), `customer_id` (nullable), `amount NUMERIC(19,4)`, `received_at DATE`, `method ENUM('stripe_card','stripe_ach','cash','check','bank_transfer','other')`, `processor ENUM('stripe','manual','other')`, `processor_charge_id TEXT`, `processor_fee NUMERIC(19,4)`, `net_amount NUMERIC(19,4)`, `deposit_account_id UUID`, `transaction_id UUID` (linked bank tx once settled), `status ENUM('pending','succeeded','failed','refunded')`.

`receipts` — `business_id`, `transaction_id` (nullable until matched), `uploaded_by`, `source ENUM('mobile_upload','email_forward','web_upload','sms','auto_match')`, `file_url TEXT` (Supabase Storage path), `file_mime`, `file_size_bytes BIGINT`, `ocr_status ENUM('pending','done','failed')`, `ocr_vendor`, `ocr_amount NUMERIC(19,4)`, `ocr_date DATE`, `ocr_merchant`, `ocr_raw JSONB`.

`tax_profile` — one per business. `business_id UNIQUE`, `filing_entity ENUM('schedule_c','schedule_e','1120','1120s','1065') DEFAULT 'schedule_c'`, `accounting_method ENUM('cash','accrual') DEFAULT 'cash'`, `tax_year_start SMALLINT DEFAULT 1`, `home_office_deduction BOOL`, `home_office_sqft INT`, `vehicle_method ENUM('standard_mileage','actual_expenses')`, `mileage_rates_by_year JSONB DEFAULT '{"2025":70, "2026":72.5}'::jsonb`, `prior_year_tax_liability NUMERIC(19,4)`, `sales_tax_enabled BOOL`, `default_sales_tax_rate_bps INT`, `category_schedule_c_overrides JSONB`, `preparer_email CITEXT`.

`audit_events` — append-only. `id BIGSERIAL`, `business_id`, `actor_user_id`, `actor_type ENUM('user','system','api','webhook')`, `action TEXT` (e.g., `'transaction.recategorized'`, `'invoice.sent'`), `entity_type TEXT`, `entity_id UUID`, `before JSONB`, `after JSONB`, `ip_address INET`, `user_agent TEXT`, `request_id TEXT`, `occurred_at TIMESTAMPTZ DEFAULT now()`. Indexes: `(business_id, occurred_at DESC)`, `(entity_type, entity_id)`. Revoke UPDATE/DELETE from all roles.

`webhook_events` — idempotency table. `source ENUM('plaid','stripe','sendgrid','square')`, `external_event_id TEXT UNIQUE`, `payload JSONB`, `processed_at`, `error TEXT`.

Optional v2 double-entry projection. `journal_entries(id, business_id, occurred_at,`

`memo, source_transaction_id)` and `journal_lines(entry_id, account_id, debit NUMERIC(19,4), credit NUMERIC(19,4))` with CHECK `(debit > 0 AND credit = 0) OR (credit > 0 AND debit = 0)` and trigger-enforced `SUM(debit) = SUM(credit)` per entry.

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11. User flows

First-run onboarding (<5 min). Email or Google sign-in → single-field "What's your business name?" → Plaid Link modal for primary bank → skeleton dashboard while `HISTORICAL_UPDATE` runs → auto-categorization pipeline executes → populated dashboard with 5 tiles → dismissible prompt "47 transactions need a quick review" links to the Inbox.

Daily use (2–5 min). Owner opens phone, sees dashboard. Taps Capture tab, photographs a receipt. OCR runs; receipt auto-attaches to a matching bank transaction. Owner sees Inbox badge "3 to review" on web later, uses `↓ ↓ R ↓ C → enter R` to clear them.

Invoicing (60 sec). New Invoice → type customer name (inline-create if new) → two line items → Send. Customer gets email with pay link; pays via ACH. Payout lands in bank account a day later; transaction auto-matches to invoice; status flips to Paid; a toast celebrates the payment on the owner's dashboard.

Monthly close (5–10 min). Day +1 of new month: the AI Bookkeeper runs. Owner receives SMS/email: "October close: $12,430 revenue (+8% MoM), $4,120 expenses, $8,310 profit. 2 items need review, 1 late invoice. Tap to see details." Owner taps, reviews the 2 items, marks them. Close complete.

Quarterly tax (2 min). Sep 5: notification "Q3 estimated tax due Sep 15. Recommended payment: $3,842 (safe-harbor, 110% of prior-year)." Owner taps "Pay now" → deep-link to IRS DirectPay pre-filled.

Year-end tax prep (10 min). January: Reports → Tax Packet → Download. ZIP contains Schedule C Summary PDF, annual and monthly P&L, transactions CSV, 1099 summaries, receipts by category, TXF file. Share read-only link with CPA. Done.

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12. UI/UX principles and key screens

Global shell. Left rail nav on desktop: Home (dashboard), Inbox (transactions), Invoices, Customers, Reports, Settings. Top bar: business switcher (when more than one business), global search, "+ New" split button (new invoice / new customer / new expense), profile menu. On mobile PWA: three tabs at bottom — Home, Capture, Inbox — plus hamburger for Invoices/Reports/Settings.

Dashboard (Home). Five KPI cards in a responsive grid (5 columns desktop, 2 tablet, 1 mobile): Cash on hand with 30-day balance sparkline, Revenue MTD with vs-prior-period delta, Expenses MTD with top-3-category hover, Profit MTD, Unpaid invoices count + dollars with overdue highlight. Period toggle in page header. Below the fold: 12-week cash in/out bar chart (recharts), "Needs attention" list, top 5 customers YTD. Named components: `<DashboardLayout>`, `<KPICard>`, `<Sparkline>`, `<PeriodPicker>`, `<AttentionList>`, `<CashflowChart>`, `<TopCustomersCard>`.

Inbox (Transactions). Header: filter chips (All / Needs review / Reviewed; Date range; Account; Category; Type), global search, bulk-action bar (hidden until selection). Dense virtualized table (40px row height, `TanStack Virtual`): checkbox, status-dot (blue = unreviewed), date, description, category dropdown, amount, account, receipt indicator. Right drawer (`<TransactionDrawer>`): merchant header, amount + date, category combobox with fuzzy search, customer/vendor link, notes, receipt attachments, audit trail. Keyboard shortcut cheat-sheet appears on `?`. Named components: `<TransactionList>`, `<TransactionRow>`, `<TransactionDrawer>`, `<CategoryCombobox>`, `<BulkActionBar>`, `<RuleCreationToast>`, `<SplitEditor>`.

Invoice editor. Three-panel layout. Left: customer picker, issue date, due date (Net 30 default), invoice number auto-gen. Middle: line items table (description, qty, rate, amount — auto-calc), "+ Add line" button, subtotal/tax/total footer, notes to customer. Right: live PDF-style preview. Bottom toolbar: Save as draft / Preview / Send. Payment toggle: "Accept card + ACH" (on by default). Named components: `<InvoiceEditor>`, `<CustomerPicker>`, `<LineItemsGrid>`, `<InvoicePreview>`, `<SendInvoiceDialog>`.

Invoice list. Status tabs: Draft / Sent / Overdue (red badge) / Paid / All. Table: customer, number, issue date, due date, amount, status pill. Row actions: View, Copy pay link, Send reminder, Mark paid, Void.

Customers. Table of name, email, YTD billed, outstanding, last invoice. Row click opens `<CustomerDetail>`: contact info, invoices, payments, notes.

Reports. Single page starting with P&L. Header: date-range preset selector, comparison toggle, basis toggle (hidden unless Accountant Mode). Two-column list of revenue (expanded) and expenses (expanded by category, collapsible). Net Profit bold row. Action bar: Export CSV / Export PDF / Send to accountant / Download Tax Packet. Drill-through on any line opens filtered Inbox. Named: `<PLReport>`, `<ReportHeader>`, `<ReportRow>`, `<ReportExportBar>`, `<TaxPacketDialog>`.

Public invoice pay page. Magic-link URL `/pay/[token]`. Mobile-first layout: business logo, invoice number, amount due in large type, line items collapsed by default, "Pay $X" primary button that opens Stripe Checkout with ACH default. "Download PDF" secondary. No login.

Settings. Left sub-nav: Business profile, Team & permissions, Connected accounts, Billing

(your subscription), Tax, Advanced accounting (toggle — default off), Integrations, Data export. Sparse default; collapsibles for grown-up features.

Plain-language label table (enforced in UI copy).

Accountant term	Plain label in UI
Accounts receivable	Unpaid invoices
Accounts payable	Bills to pay
Reconciliation	Match transactions
Chart of accounts	Categories
Journal entry	Adjustment
Trial balance	Account balances
P&L / Income statement	Profit report
Balance sheet	What you own and owe
Debit / Credit	Money out / Money in
COGS	Product costs
Cash basis	Count when paid
Accrual basis	Count when invoiced
Depreciation	Spread cost of big purchases
Retained earnings	Profit kept in the business

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13. AI and automation features

13.1 Auto-categorization pipeline

Three stages per transaction. **Stage 1: merchant normalization** (deterministic). Regex strip of `SQ*`, `TST*`, POS prefixes, phone numbers, city/state trailing text. Output clean merchant name. **Stage 2: cache lookup.** Per-business `merchant_name → category_id` mapping built from user corrections. Hit rate target >70%. Skip LLM entirely on hit. **Stage 3: LLM classification** on miss, using GPT-4o-mini or Claude 3.5 Haiku with the prompt below. Output JSON with category, confidence, reasoning, `needs_review`, `tax_deductible`,

`deductible_pct`.

Confidence policy. ≥0.9 auto-apply silently. 0.7–0.9 auto-apply but flag for review digest. <0.7 leave uncategorized and queue in Inbox. When user overrides a categorization, write a per-merchant rule and re-classify any past uncategorized transactions from the same merchant.

Production prompt (excerpt — full prompt stored in `/prompts/categorize.md`).

```
SYSTEM: You are a bookkeeping categorization engine for US small businesses.
Business profile: {business_type}, {entity_type}, state={state}
Top vendors (90d): {top_vendors}
Learned mappings: {merchant_to_category}

Valid categories (output one code): advertising | car_truck | commissions |
contract_labor | depreciation | insurance | interest | legal_professional |
office | rent_lease | repairs_maintenance | supplies | taxes_licenses |
travel | meals_50 | utilities | wages | software_subscriptions | bank_fees |
education | dues | other_expenses | owner_draw | transfer | personal |
income_services | income_product | income_other | refund | uncategorized

Rules:
- Transfers between user's own accounts = "transfer", never an expense.
- Meals are 50% deductible and must be business-context. Default food delivery
  to "personal" unless prior pattern suggests otherwise.
- Personal-looking transactions on a business account = business "owner_draw".
- Stripe/Square/PayPal fees = "commissions".

Output JSON ONLY: {"category":"...", "confidence":0.00-1.00,
"reasoning":"<one sentence>", "needs_review":true|false,
"tax_deductible":true|false, "deductible_pct":100|50|0}

USER: Transaction: date={d}, description="{desc}", amount={amt},
account="{acct}", mcc={mcc}
```

13.2 Receipt OCR pipeline

Default model: GPT-4o-mini with vision, ~$0.005–0.01 per receipt. Low-confidence retry: Claude Sonnet 4 vision. Output JSON schema: merchant (name, address, phone), transaction_date, transaction_time, currency, subtotal, tax, tip, total, payment_method, last4, line_items, category_hint, extraction_confidence, flags. After extraction, fuzzy-match to a bank transaction within ±$0.02 amount and ±3 days date and merchant-name similarity >0.7. On match, silently attach. On no match, park in Unmatched Receipts. Full prompt in `/prompts/receipt_extract.md`.

13.3 Ask-AI natural language queries

Pattern: constrained NL→JSON query plan, never raw SQL from the LLM. Model (GPT-4o or Claude Sonnet 4) outputs `{intent, table, aggregation, group_by, filters, order_by, limit, compare_to, natural_answer_template}`. Application code translates the plan to parameterized SQL against a semantic view `transactions_v(date, merchant, amount_signed, category, account_name, is_income)` with `business_id` hard-coded server-side. Guardrails: SELECT-only regex check, 5-second query timeout, 1000-row cap, 1 self-repair retry on SQL error, never allow DDL/DML. Show the generated answer plus an expandable "See how we computed this" panel listing the filter criteria and linked transactions. Full prompt in `/prompts/nl_query.md`.

13.4 Anomaly detection

Nightly statistical sweep (scipy): duplicate detection (same amount ±$0.01, same merchant, ≤3 days apart), unusual spend (>3σ above merchant 90-day mean), missing recurring revenue (client invoiced monthly for 6+ months, missing this month), forgotten subscriptions (>6 consecutive untouched months), vendor price creep (>15% above trailing mean). LLM-in-the-loop only for narrative summary in monthly close email and for ambiguous duplicate pairs.

13.5 Automated monthly close ("AI Bookkeeper")

Day −3 of month-end: categorization sweep; email digest "X items need review." Day +1: reconcile Plaid balance vs. ledger sum; flag delta >$1. Generate P&L and 12-week cash flow. Generate "close text": *"October close: $12,430 revenue (+8% MoM), $4,120 expenses, $8,310 profit. 2 items need review, 1 late invoice. Tap to see details."* Send via SMS and email. Maintain Schedule C projection continuously so year-end packet is one click.

13.6 Email and SMS parsing for receipts

SendGrid Inbound Parse at `mx.receipts.sumi.app` with receiver `receipts+<userhash>@receipts.sumi.app`. Webhook posts multipart payload to Supabase Edge Function: dedupe, extract attachments, route images/PDFs to OCR pipeline, route HTML-only receipts (Uber, Amazon) through text extraction. V2: SMS/MMS via Twilio number.

13.7 Cost envelope

Budget $0.50 per paid user per month for LLM + OCR combined at 500 transactions and 50 receipts. Target <$0.20 via aggressive caching. At $15 ARPU, COGS remains <15%.

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14. Security, compliance, privacy

Encryption. TLS 1.2+ everywhere with HSTS and forced HTTPS. Supabase AES-256 at rest. Plaid `access_token`, vendor TINs, and EINs encrypted at column level via Supabase Vault

(libsodium). Receipts in Supabase Storage in private buckets with signed URLs (5-min TTL).

Secrets management. Vercel env vars (encrypted, per-environment scopes). Structured logs with Pino and automatic redaction of `authorization`, `stripe-signature`, `plaid-*`, `token`, `secret` keys. Quarterly rotation of Plaid and Stripe keys.

PCI DSS. SAQ A eligibility maintained by using Stripe Elements and Stripe Checkout exclusively — cardholder data never reaches our servers, ever. Annual attestation to Stripe.

SOC 2 roadmap. Not pre-PMF. Trigger: first enterprise or CPA-firm customer asks in writing, or ARR crosses ~~$500k. Then: adopt Vanta or Drata (~~$10k/year), implement controls over 2–3 months, Type I audit at month 3 (~~$10–25k), begin observation period, Type II audit at month 9–12 (~~$30–60k). Total all-in realistic budget $40–100k to first Type II.

GDPR/CCPA. Privacy policy itemizes subprocessors (Supabase, Vercel, Plaid, Stripe, SendGrid, Anthropic, OpenAI, PostHog, Sentry). DPAs on file with each. Data subject rights endpoints: export, delete (with audit-preservation exception for 7 years on financial records), rectify. "Do Not Sell My Info" footer link (CCPA) even though we don't sell.

Access control and RLS. All tenant tables enforce RLS via SECURITY DEFINER helpers `auth.user_has_business_access(bid)` and `auth.user_business_role(bid)`. Every query additionally includes explicit `WHERE business_id = $1` for planner index usage. Role matrix: owner (all + billing + delete), admin (all except billing/delete), bookkeeper (read/categorize/invoice, no settings), viewer (read-only). Invited accountants = bookkeeper role with Accountant Mode auto-enabled.

Audit logging. Append-only `audit_events` table with `REVOKE UPDATE, DELETE` on all roles. Captures actor, IP, user agent, before/after diff JSON, timestamp. Partitioned monthly. Retained 7 years.

Legal posture. Non-custodial: never hold or move customer funds. Stripe Connect Standard — customer invoice payments deposit direct to the SMB's own Stripe account. No MTL, no MSB, no bank charter. ToS clickwrap at signup includes disclaimer: "Sumi is not a CPA, tax preparer, or financial advisor."

Incident response. One-page IR plan at MVP. Quarterly restore test of Supabase PITR (14-day retention on Pro). Sentry-paged on-call rotation from first hire.

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15. Pricing and business model

Single tier at launch: Sumi Plus — $15/month or $144/year ($12/mo effective). Includes: unlimited transactions, unlimited invoices, unlimited receipts, Ask-AI (unlimited), up to 3 connected bank/card accounts, up to 2 businesses, up to 2 team members, all reports, tax

packet export. Founded on the Wave Pro ($16) to QB Solopreneur ($20) anchor band.

14-day free trial, no credit card required. Freemium is intentionally rejected: Wave's 2024 paywalling of auto-imports shows free tiers erode trust and cannibalize paid ARPU. A generous trial with full-feature access outperforms.

Sumi Pro — $29/month (v2). Everything in Plus + unlimited businesses, unlimited team, client portal, recurring invoices + auto-charge, mileage tracking, quarterly-tax module, 1099 contractor tracking, priority support.

Sumi Partner program (free for CPAs/bookkeepers). Free partner account with client dashboard, 20% lifetime revenue-share on referred clients (industry standard per FreshBooks/Xero programs), partner directory listing, white-label branded tax-packet cover page.

Unit economics (target). $15 ARPU × 80% gross margin (after Plaid ~$1.20, LLM/OCR ~$0.50, Supabase/Vercel ~$0.50, Stripe billing ~$0.45, support ~$0.35) = $12 contribution margin. CAC target <$60 yields 5-month payback.

Explicit pricing anti-patterns to avoid. No annual price creep (contractual 3-year freeze for cohort-1 users as a trust signal post-QBO hike). No hidden tiers for "bill pay" or "multi-user" that force upgrades. No surcharge for data export. No "sunset" of plans forcing users to more expensive successors (QBSE → Solopreneur cautionary tale).

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16. Go-to-market strategy

Beachhead: home-services operators via CleanDay CRM. Prateek's existing CleanDay user base is the ideal pilot — cleaners already hate QuickBooks, need recurring invoicing, and have a CRM relationship with us. Ship an integrated "Bookkeeping" tab inside CleanDay with seamless SSO. Lead generation: CleanDay's email list + blog content about tax time for cleaning businesses.

Second wave: 1099 freelancers via SEO and partnerships. Target pages: "QuickBooks Self-Employed alternative," "Keeper Tax vs Sumi," "simple bookkeeping for freelancers." Guest posts on Indie Hackers, Makerpad, and tax-focused creator Substacks. Listings on G2, Capterra, Product Hunt.

Third wave: Etsy/Shopify retailers. Dedicated landing pages by platform ("Bookkeeping for Etsy sellers"), integration with Square and Shopify revenue imports, content about Schedule C Part III for makers.

Event-driven acquisition moments.

- **May 1, 2026 — QBO price hike.** Launch campaign "Paying 25% more for QuickBooks this

week? Switch to Sumi in 10 minutes." Offer free migration from QBO/Wave/Bench via our CSV importer + concierge onboarding for first 500 switchers.

- **Q1 tax season.** "Give this to your CPA" as the primary CTA; partner with TurboTax-adjacent freelancer communities.
- **Quarterly estimated tax deadlines.** Content-led acquisition four times a year.

Distribution channels, ranked.

1. CleanDay CRM cross-sell (installed base, zero CAC).
2. CPA/bookkeeper partner program (20% lifetime share, free partner account — mirrors FreshBooks and Xero playbooks; this is how Intuit built its moat).
3. SEO on "alternative to" queries — high-intent post-hike traffic.
4. Indie Hackers, Hacker News Show HN, Product Hunt.
5. Paid Reddit sponsorships on r/smallbusiness, r/freelance.
6. Content: tax deadlines, Schedule C walkthroughs, bookkeeping-for-[vertical] guides.

Moat vs Intuit's $170B market cap. Not feature parity — that's a losing race. Our moats: (1) brand as *the simple one*, defensible via consistent plain-language UX and "no accountant jargon" positioning; (2) CleanDay CRM lock-in for service verticals; (3) LLM-native categorization that compounds accuracy per-user; (4) CPA partner liquidity once 5k+ partners are in-network; (5) speed — indie builder can ship features in a week that take Intuit a year.

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17. Success metrics

North Star: Weekly Active Businesses (WAB) — distinct businesses that logged in and took at least one action (categorized a transaction, sent an invoice, viewed a report) in the trailing 7 days. Target: 70% of paying businesses WAB by month 6.

Activation metric: % of signups with populated dashboard within first session. Target ≥70%. Measures onboarding quality.

Retention metric: M3 retention. Target ≥75% of trial converters still active at day 90.

Monetary metrics. MRR, paying-customer count, gross margin, CAC payback (target <6 months), NRR.

Engagement metrics. Transactions reviewed per week per business, invoices sent per month per business, receipts captured per month per business, Ask-AI queries per month (v2).

Quality metrics. Categorization accuracy (% of auto-applied categories not corrected within

30 days, target ≥92%), time-to-first-value (signup → populated dashboard P50 <90s), invoice payment time (avg days from send to paid, target <14 days), support ticket volume per 100 users (target <5/month).

North Star anti-metric to watch: % of users who ever open Advanced Accounting. If it climbs past 5%, we have failed at progressive disclosure.

Reporting. PostHog dashboards for product metrics, Stripe dashboard for revenue, Sentry for error budget (<0.5% session error rate), Better Stack for uptime (target 99.9% on app, 99.5% on webhooks).

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18. MVP build plan (30 / 60 / 90 day)

Days 0–30: foundation and core ledger

- Next.js 15 scaffolding with App Router, Supabase project in us-east-1, Vercel deploy. Turborepo monorepo set up for eventual Expo app (Expo package skeletoned but not built).
- Auth: Supabase Auth with email + Google OAuth. Multi-business schema. RLS helper functions and policies on every table.
- Full data model migration (section 10) including seeded Schedule C categories.
- Plaid integration: Link, `/transactions/sync`, webhooks, initial historical sync worker via Inngest.
- Transaction ingestion, dedup, storage.
- Basic categorization: deterministic merchant normalization + per-user rules cache. LLM fallback stubbed.
- **Milestone: a private alpha user can connect Chase and see 24 months of transactions in a raw list.**

Days 31–60: the inbox and dashboard (the differentiator)

- Transaction Inbox with keyboard shortcuts, bulk edit, splits, right-drawer detail.
- Full LLM categorization pipeline with production prompt, confidence policy, per-user learning.
- Dashboard with 5 KPI tiles and period picker.
- Receipt capture: mobile PWA camera, web upload, SendGrid Inbound Parse, GPT-4o-mini OCR, auto-match worker.

- Soft launch to 20 private beta users from Awesome Maids / CleanDay network.
- **Milestone: a beta user can get from signup to a reviewed, populated dashboard in <5 minutes.**

Days 61–90: monetization and tax packet

- Invoicing: create, send, magic-link pay page, Stripe Checkout (card + ACH via Stripe Financial Connections), auto-match Stripe payout to invoice.
- Customer list, customer detail.
- P&L report with drill-through, CSV export, PDF export.
- **Tax packet export** (the marketing wedge): Schedule C Summary PDF, transactions CSV, receipts ZIP, TXF file, "Send to CPA" shareable link.
- Full data export (`/settings/export`).
- Stripe billing for Sumi subscriptions ($15/mo and $144/yr) with 14-day trial.
- Billing dashboard and account management.
- Sentry + PostHog + Better Stack + LogSnag wired up.
- Public beta launch. Product Hunt preparation.
- **Milestone: public launch at $15/mo with tax packet as the marquee feature, targeting 100 paying businesses by day 90.**

Post-90 (the 6-month v2 runway)

Recurring invoices, mileage, Ask-AI, accountant mode + invite flow, 1099 tracking, quarterly tax module, sales tax v1, Expo mobile app, CPA partner program portal.

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19. Open questions and risks

Open questions.

1. **Should we build our own payments processor vs pure Stripe Connect Standard?** Current recommendation: Stripe Connect Standard (non-custodial). Revisit in v2 if interchange margin on embedded card processing becomes meaningful at scale.
2. **Plaid vs Teller primary aggregator.** Plaid wins on coverage; Teller wins on reliability for Chase/BofA. Ship with Plaid; measure disconnect rates; add Teller fallback by month 6 if Plaid reliability <98%.

3. **Free tier later?** Recommend against for first 12 months (Wave evidence). Revisit if growth stalls.
4. **When to build Expo native app?** Deferred to v2. Revisit if mobile PWA camera friction shows in analytics (capture abandonment >20%).
5. **Accountant mode depth.** Full balance sheet and formal reconciliation in v2.5 or later? Let first 20 CPA partners vote.
6. **Business name.** Recommend **Sumi** over Tally (trademark risk with Tally Solutions in India), Perch (crowded), Nook (B&N + fintech conflicts). Sumi is short, coined, low-collision, and fits modern SaaS naming. Back-up: **Mitt**. See section 20 for full analysis.

Risks.

1. **Plaid pricing at scale.** Transactions subscription ~$0.30–0.60/connected-account/month; Growth tier minimum ~$500/mo kicks in contractually. Mitigation: start Pay-as-you-go; negotiate Growth at 400+ users; budget 10% COGS.
2. **Bank disconnection churn.** The #1 category-wide complaint. Mitigation: proactive webhook-based reconnect flow, multi-aggregator fallback, CSV safety valve, transparent status page.
3. **Categorization accuracy below threshold.** If AI auto-category is correct <90% of the time, users revert to manual and churn. Mitigation: measure per-user accuracy weekly; tune prompt + merchant cache; retry with larger model on low confidence.
4. **Intuit moves downmarket with Solopreneur aggressively.** They could slash Solopreneur to $10 and win on distribution. Mitigation: niche positioning (home services via CleanDay), CPA partner moat, faster feature velocity.
5. **Regulatory drift on money movement.** If we ever add bill pay or custodial features, MTL/MSB obligations explode. Mitigation: strict non-custodial posture, partner for bill pay in v2+ (Relay, Bill.com).
6. **LLM cost inflation.** A 10× price regression isn't guaranteed; current GPT-4o-mini + Haiku economics work at $0.05/user/mo but Claude or OpenAI could raise prices. Mitigation: aggressive merchant cache, fine-tuned open-source fallback (Llama or Qwen) evaluation at month 9.
7. **Indie founder capacity.** Prateek is already running Awesome Maids, CleanDay, AverageDown, and i am. Mitigation: tight MVP scope (sections 6–7), reuse CleanDay infra and user base, hire first engineer by month 6 if MRR clears $15k.
8. **Trust + security incident pre-SOC 2.** A breach in year one could be existential. Mitigation: Supabase Vault encryption of sensitive tokens day one, Sentry PII redaction, cyber liability insurance from first paying customer, public status page.

20. Product name candidates

Checked against incumbent bookkeeping and finance brands; rough web-signal only (full USPTO Class 9 + Class 36 clearance required before commit).

#	Name	Rationale	Domain status (signal)	Brand risk
1	**Sumi** (recommended)	Coined from “sum” + soft vowel. 2 syllables, warm, modern SaaS naming register (Miro/Linear/Notion era). Evokes adding up without any accountant word.	`sumi.com` appears held but inactive; `sumi.app`, `getsumi.com`, `trysumi.com`, `sumi.co` likely available.	Low. Some Japanese ink-art and cosmetic brands exist, different class. No bookkeeping collision.
2	**Mitt**	1 syllable; mitt = something that catches things (receipts, expenses). Fresh, unaccountant-like.	`mitt.com` held; `usemitt.com`, `mittapp.com`, `mitt.money` likely open.	Low–medium. No bookkeeping collision. Minor “Mitt Romney” association in US.
3	**Crispbook** / **Crisp**	“Crisp numbers” evokes clarity.	`crisp.com` taken by retail-data AI; `crispbook.com` may be open but “book” violates our own naming rule. `crisp.money` or `getcrisp.app` workable.	Medium. Crisp (retail data) and Crisp (support chat) exist; conflict with “no books” guideline.
4	**Tally**	Dictionary word; “running tally” perfectly evokes simple counting.	**`tally.com` owned by Tally Solutions — an India-headquartered global accounting incumbent. Direct category collision.**	**High. Likely USPTO conflict in accounting-software class. Skip.**
			`ember.com` taken by	Medium.

5	**Ember**	Evokes warmth, small business glow. Short, modern.	Ember Technologies (smart mugs); `emberhq.com`, `getember.app` likely open.	Multiple non-financial Embers; Ember.js framework noise.

Recommendation. Lead with **Sumi** — strongest semantic fit, lowest trademark collision, cleanest domain options, and tonally correct for our "simple, warm, not accountant-y" positioning. Back-up: **Mitt**. Do not use **Tally** without full legal clearance given the incumbent collision.

Pre-commitment checklist: USPTO search in Class 9 (software) and Class 36 (financial services), WHOIS on shortlisted domains, trademark watch service subscription, social handle availability check (@sumi, @getsumi).

End of PRD. This document is sized for direct handoff to Claude Code for scaffolding: the schema in section 10 and the architecture in section 9 together specify the DB migrations, the API contracts specify the routes, and the component names in section 12 specify the front-end skeleton. Suggested starting task for Claude Code: "Scaffold the Next.js 15 App Router project with Supabase, implement the full data model migration from section 10, write RLS policies per section 9, and build the Onboarding → Plaid Link → Transaction Inbox happy path per sections 6.1–6.4."